Regressive Taxes

It implies that higher the rate of tax lower the income groups than in the case of higher income groups. It is a very opposite of progressive taxation.

Progressive Tax	Proportional Tax	Regressive Tax
Income increase	Income Increase	Income change
Tax also Increase	Tax Decrease	Same Tax always
E.g. Income Tax	E.g. Corporate Tax	E.g. Sales Tax

4.5 Black Money

Black Money

Black money is funds earned on the black market on which income and other taxes have not been paid. The unaccounted money that is concealed from the tax administrator is called black money.

Causes of Black Money

Several sources of black money are identified as causes.

1. Shortage of goods
2. Licensing proceeding
3. Contribution of the industrial sector
4. Smuggling
5. Tax structure

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4.6 Tax Evasion

Tax evasion is the illegal evasion of taxes by individuals, corporations and trusts. Tax evasion activities included

- Underreporting income
- Inflating deductions or expenses
- Hiding money
- Hiding interest in offshore accounts

Tax evasion penalties

1 If a person wilfully commits the act of tax evasion, he may face felony charges. Tax evasion penalties include imprisonment of up to five years and high amount as fines.

2 The defendant may also be ordered to pay for the costs of prosecution.

3 Tax evasion penalties can be harsh, depending on the severity of the crime.

4.7 Taxes and Development

The role of taxation in developing economies is as follows.

1. **Resource mobilisation**: Taxation enables the government to mobilise a substantial amount of revenue. The tax revenue is generated by imposing direct taxes such as personal income tax and corporate tax and indirect taxes such as customs duty, excise duty, etc.

2. **Reduction inequalities of income**: Taxation follows the principle of equity. The direct taxes are progressive in nature. Also certain indirect taxes, such as taxes on luxury goods, is also progressive in nature.

3. **Social welfare:** Taxation generates social welfare. Social welfare is generated due to higher taxes on certain undesirable products like alcoholic products.

4. **Foreign exchange:** Taxation encourages exports and restricts imports, Generally developing countries and even the developed countries do not impose taxes on export items.

5. **Regional development**: Taxation plays an important role in regional development, Tax incentives such as tax holidays for setting up industries in backward regions, which induces business firms to set up industries in such regions.

6. **Control of inflation:** Taxation can be used as an instrument for controlling inflation. Through taxation the government can control inflation by reducing the tax on the commodities.

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